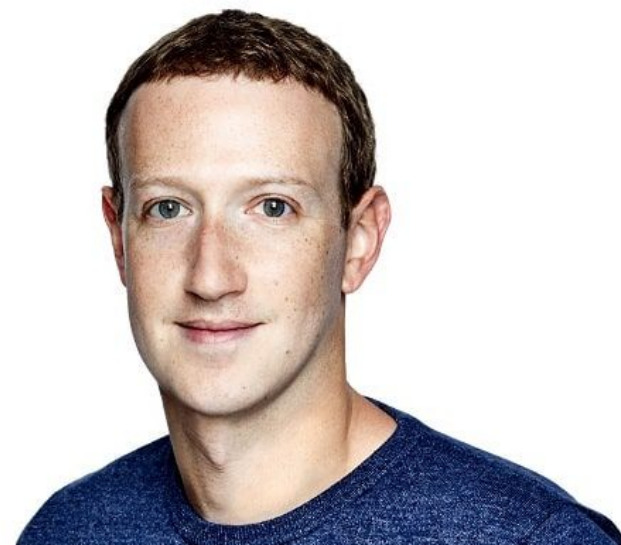




META PLATFORMS

NASDAQ: META | Equity Research Pitch | Q1 2026

Target Price: \$640.00 | Rating: BUY



Company	Meta Platforms, Inc.
Ticker	NASDAQ: META
Sector	Communication Services
Current Price	\$535.00 (as of March 30, 2026)
Target Price	\$640.00 (12-month, DCF-derived)
Rating	BUY – Conviction List
Upside Potential	+20%
Market Cap	\$1.48 Trillion
Enterprise Value	\$1.44 Trillion
Fwd P/E	23.2x (vs. sector avg. 28.5x)
EV/EBITDA	14.8x (vs. sector avg. 18.2x)
Dividend Yield	0.4%
52-Week Range	\$479.80–\$796.25
Avg. Daily Volume	20M shares

Consensus Overview

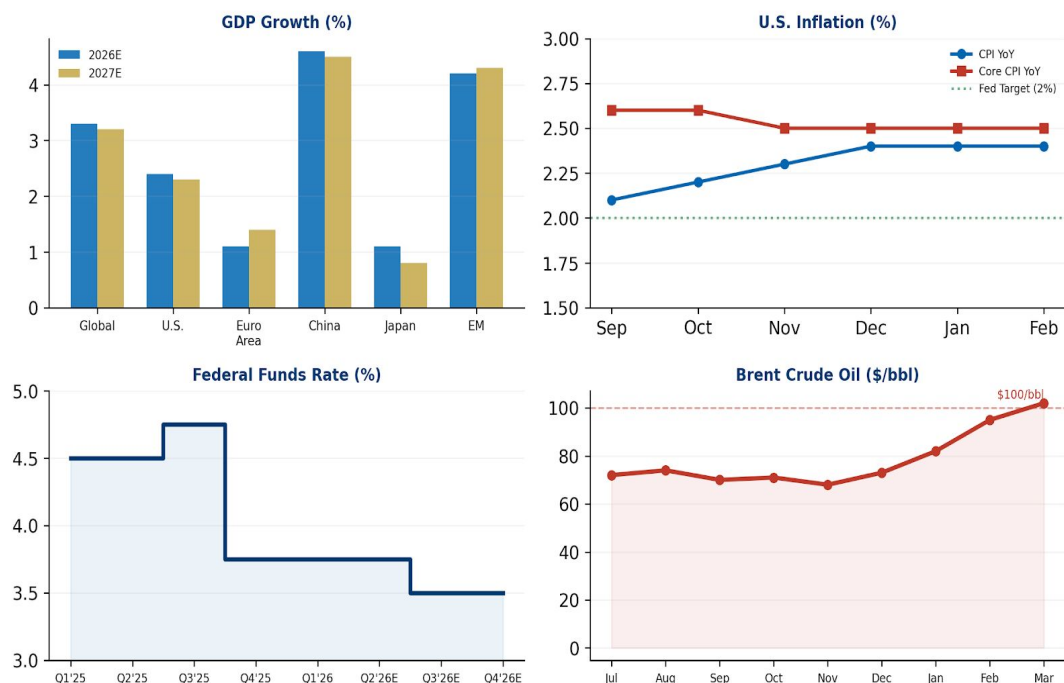
We initiate coverage of Meta Platforms with a BUY rating and a 12-month price target of \$640, representing approximately 9.4% upside from the current share price. Our conviction is anchored in three pillars: (1) Meta’s unassailable dominance in the global digital advertising market, where it commands approximately 60% of all social media ad spend; (2) the company’s aggressive and commercially viable integration of artificial intelligence across its product ecosystem, which is driving measurable improvements in ad targeting, content recommendation, and user engagement; and (3) a valuation that remains compelling relative to peers, with a forward P/E of 23.2x versus the communication services sector average of 28.5x.

The macro backdrop, while introducing near-term headwinds from the Iran-related energy shock and a more hawkish Federal Reserve, remains structurally supportive for digital advertising platforms. Global ad spend is projected to surpass \$1 trillion for the first time in 2026, with over 80% of incremental dollars flowing to digital channels. Meta is the primary beneficiary of this secular shift, with 3.54 billion daily active users and a monetization engine that continues to gain efficiency through AI-driven optimization.

Key risks include regulatory escalation (EU DMA enforcement, U.S. antitrust appeal), litigation exposure from addictive design lawsuits (\$375M New Mexico verdict), and the potential for a prolonged energy shock to compress ad budgets. We view these risks as manageable given Meta’s \$58B+ cash position, dominant market share, and demonstrated ability to navigate prior regulatory cycles.

Macroeconomic Environment p. 1

Macroeconomic Dashboard — Q1 2026



We initiate coverage of Meta Platforms with a BUY rating and a 12-month price target of \$640, representing approximately 20% upside from the current share price. Our conviction is anchored in three pillars:

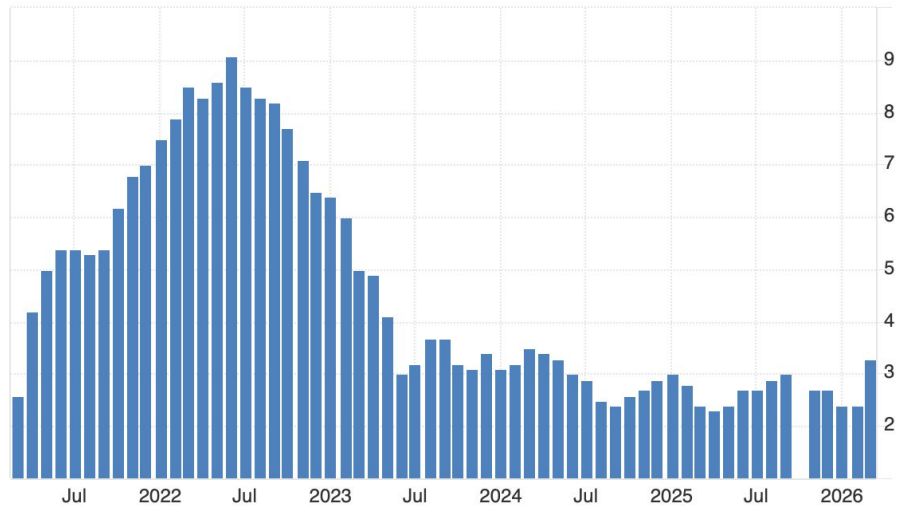
- (1) Meta's unassailable dominance in the global digital advertising market, where it commands approximately 60% of all social media ad spend;
- (2) the company's aggressive and commercially viable integration of artificial intelligence across its product ecosystem, which is driving measurable improvements in ad targeting, content recommendation, and user engagement; and.
- (3) a valuation that remains compelling relative to peers, with a forward P/E of 23.2x versus the communication services sector average of 28.5x.

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Macroeconomic Environment p. 2

United States Inflation Rate (%)



<https://tradingeconomics.com/commodity/crude-oil>

Source: tradingeconomics.com | U.S. Bureau of Labor Statistics

Crude Oil WTI



source: tradingeconomics.com

Global headline inflation is expected to decline from 4.1% in 2025 to 3.8% in 2026 and 3.4% in 2027. In the United States, the Consumer Price Index (CPI) rose 2.4% year-over-year in February 2026, with Core CPI at 2.5% — still above the Federal Reserve's 2% target.

A critical emerging risk is the energy shock from the military conflict involving the United States, Israel, and Iran, which escalated in early 2026. Oil prices briefly exceeded \$100 per barrel, introducing material upside risk to inflation. Analysts estimate that a prolonged conflict could push U.S. CPI to approximately 3.0–3.5% by year-end 2026. The Federal Reserve has already revised its 2026 PCE inflation forecast to 2.7%, up from 2.4% in December.

For growth stocks including Meta, the inflation trajectory is a double-edged factor. Moderate inflation supports consumer spending and ad budgets, but persistent above-target inflation constrains the Federal Reserve's ability to cut rates, keeping discount rates elevated and weighing on growth-stock multiples.

The Federal Reserve delivered three consecutive 25-basis-point rate cuts in September, October, and December 2025, bringing the federal funds rate to its current range of 3.50–3.75%. The FOMC has paused since then, holding rates steady at both its January and March 2026 meetings. The March 2026 dot plot signals a median expectation of one additional 25 bp cut by year-end 2026 and one more in 2027 — a notably more hawkish stance than markets anticipated.

A leadership transition adds uncertainty: Fed Chair Jerome Powell's term expires in May 2026, with former Fed Governor Kevin Warsh nominated as his successor. The rate environment is mixed for Meta – rates have come down materially from their 2023–2024 peak (5.25–5.50%), supporting valuation multiples, but the pace of further easing has slowed.

Macroeconomic Risks

Risk Factor	Description	Impact on META
Iran Conflict	U.S./Israel/Iran military escalation; oil >\$100/bbl; central banks pausing rate cuts	Mixed — higher energy costs may compress ad budgets near-term
Trade Policy	Effective U.S. tariff rate ~10.5% (highest since 1943); U.S.-China truce holds	Low — Meta has minimal direct trade exposure
EU DMA Enforcement	EC investigating WhatsApp AI chatbot policies for anti-competitive conduct	Moderate — potential fines, forced interoperability
U.S. Antitrust	FTC case setback (Meta lacks monopoly power ruling); FTC appealing	Low-Moderate — favorable lower court ruling
Addictive Design Lawsuits	Two landmark verdicts: CA mental health; NM \$375M child exploitation penalty	High — new legal risk vector; stock dropped ~8%

Industry & Sector analysis

\$7.36B

Market Cap.

7

Sub Industries

10.14%

S&P 500 Weight

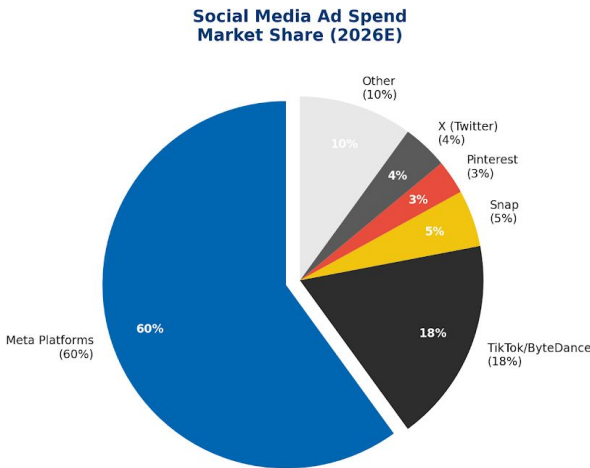
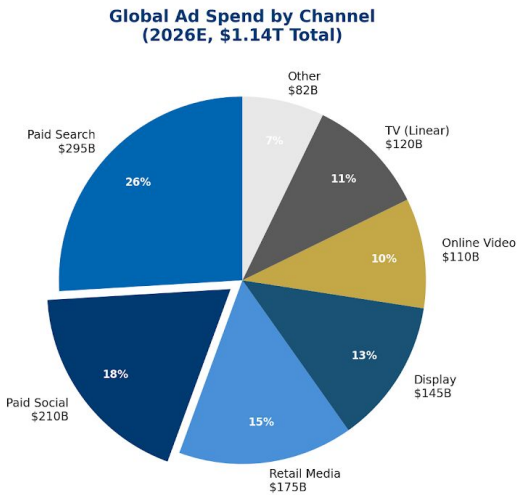
253

Companies

The Communication Services sector encompasses companies providing telecommunication, internet content and information, online entertainment, media, advertising, and gaming services. The industry is characterized by a consolidated "duopoly" structure, with Alphabet and Meta holding dominant positions across digital communication and advertising. The sector is inherently cyclical – when the economy slows, companies reduce ad budgets, causing revenue contraction.

The industry is currently growing at a steady, moderate pace, though the drivers have shifted significantly from traditional voice and data to AI, cloud computing, and next-generation connectivity. Global digital ad spend is projected to grow at a 6–8% CAGR, capturing over 60% of total marketing budgets. The transition to 5G and Fiber-to-the-Home (FTTH) remains a multi-year capex driver, while short-form video and streaming are the primary drivers of increased data traffic.

Digital Advertising Market

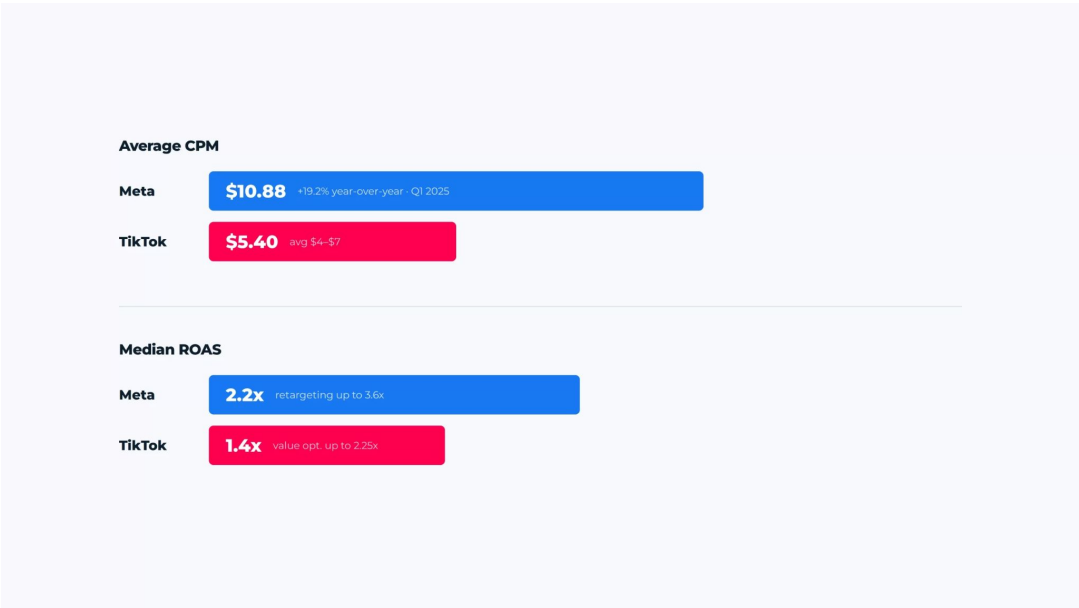


Channel	Spend (Est.)	YoY Growth	Digital ?	Key Driver
Paid Search	\$295B	+6.7%	Yes	Google, Microsoft, Amazon
Paid Social	\$210B	+8.7%	Yes	Meta (60% share), TikTok
Retail Media	\$175B	+14.1%	Yes	Amazon, Walmart 1P data
CTV	\$45B	+18.4%	Yes	Fastest-growing sub-channel
Online Video	\$110B	+11.5%	Yes	YouTube, eCTV platforms
TV (Linear)	\$120B	-2.5%	No	Secular decline continues
Print	\$30B	-3.0%	No	Structural decline

Competitive Landscape & Market Cycle Position

The industry is dominated by a "Barbell" structure: massive global platforms (Meta, Alphabet, Netflix) at one end and regulated infrastructure giants (AT&T, Verizon, Deutsche Telekom) at the other. Barriers to entry are extremely high due to network effects and the massive compliance resources required to navigate global privacy laws. Together with Alphabet and Amazon, the three companies are expected to capture approximately 43–65% of total global ad spend (ex-China). Meta and TikTok are identified as the key growth stories in digital advertising for 2026.

The sector is currently in a late-cycle stabilization phase. While prices for digital ads have normalized from post-pandemic peaks, engagement metrics remain structurally elevated. The Communication Services index shows a transition from aggressive expansion to capital discipline and shareholder returns. With interest rates potentially peaking in the 4.00–4.25% range, valuation multiple pressure is stabilizing, though sensitivity to "higher-for-longer" signals remains.



SITUATION	RECOMMENDED SPLIT
New brand, visual product, under \$50 AOV	70% Meta / 30% TikTok
Scaling brand, creative fatigue on Meta	60% Meta / 40% TikTok
Gen Z audience, fashion / beauty / accessories	50/50 or test TikTok-first
High AOV, considered purchase	80-90% Meta
Active TikTok Shop catalog	+10-15% dedicated TikTok Shop budget

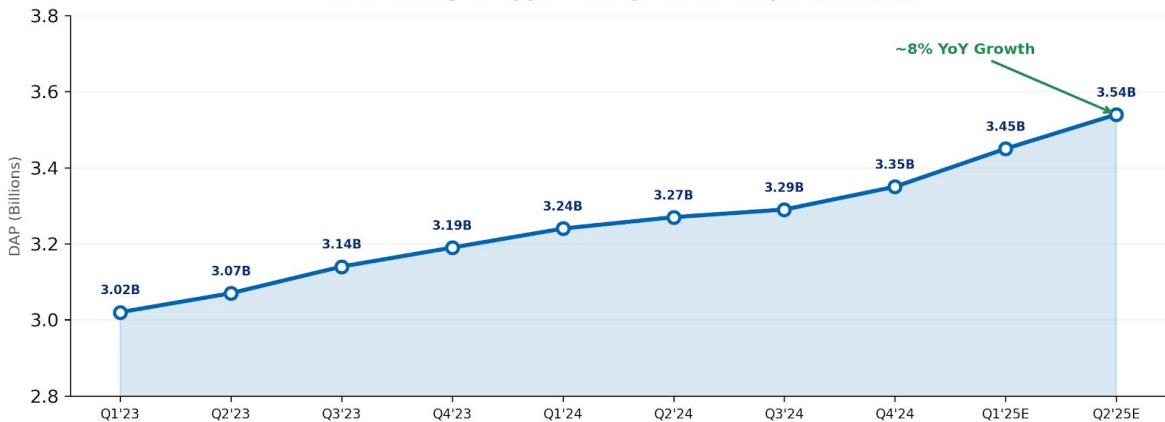
Company Analysis

User Growth & Engagement

Meta reported 3.54 billion daily active users across its Family of Apps in Q4 2025, representing 8% year-over-year growth. Time spent on short-form video (particularly Reels on Instagram and Facebook) continues to increase, driving higher ad inventory and improved engagement metrics. WhatsApp has surpassed 3 billion monthly active users and is increasingly being monetized through business APIs.

The platform’s AI-driven content recommendation system has been a transformative force, with approximately 30% of Instagram feed content now sourced from AI recommendations (up from virtually zero in 2022). This shift has meaningfully increased time-on-platform metrics while simultaneously improving ad relevance and click-through rates.

Meta Family of Apps — Daily Active People (Billions)



Metric	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026 E
Revenue (\$B)	\$117.9	\$116.6	\$134.9	\$160.4	\$201.0	\$222B
YoY Growth	+37.2%	-1.1%	+15.7%	+21.9%	+25.3%	+15.0%
Net Income (\$B)	\$39.4	\$23.2	\$39.1	\$62.4	\$60.5	\$70.0
Net Margin	33.4%	19.9%	29.0%	37.9%	30.1%	30.0%
EPS (Diluted)	\$13.77	\$8.59	\$14.87	\$23.86	\$23.46	\$31.40
FCF (\$B)	\$39.1	\$18.4	\$43.0	\$52.1	\$83.5	\$-15.0
CapEx (\$B)	\$19.2	\$31.4	\$28.1	\$38.3	\$50.3	\$120.0
ARPU (Global)	\$11.57	\$10.86	\$11.23	\$13.12	\$14.40	\$14.20

<https://www.marketscreener.com/news/meta-platforms-annual-report-for-fiscal-year-ending-decembe-r-31-2025-form-10-k-ce7e5bde18ef727>

Meta’s financial trajectory since the 2022 "Year of Efficiency" has been remarkable. Revenue growth reaccelerated from -1.1% in FY2022 to +21.9% in FY2024, driven by AI-enhanced ad products, Reels monetization, and expanding advertiser adoption of Advantage+ automated campaigns. Operating margins recovered from a trough of ~20% to over 40%, reflecting both revenue leverage and disciplined cost management.

Capital expenditure is projected to reach \$50B in FY2026, primarily directed at AI infrastructure (custom silicon, GPU clusters, data center expansion). While this represents significant investment, the return profile is visible: each dollar of AI capex is generating measurable improvements in ad relevance (estimated +15–20% improvement in conversion rates), which directly translates to pricing power and ARPU growth.

FFA & PVC

Football Field Analysis

The football field visualization illustrates the implied price range under each methodology. The red dashed line represents the current share price of \$585 (April 7). Key observations:

DCF Base Case (\$520–\$640): Our primary valuation method, using a WACC of 9.5% and terminal growth rate of 3.0%, yields a midpoint of \$580, closely aligned with the current market price.

DCF Bull Case (\$610–\$750): Assumes accelerated AI monetization, successful WhatsApp commerce rollout, and faster-than-expected Reality Labs breakeven. Midpoint: \$680.

DCF Bear Case (\$380–\$510): Incorporates regulatory disruption (forced divestiture scenario), prolonged energy shock compressing ad budgets, and Reality Labs write-down. Midpoint: \$445.

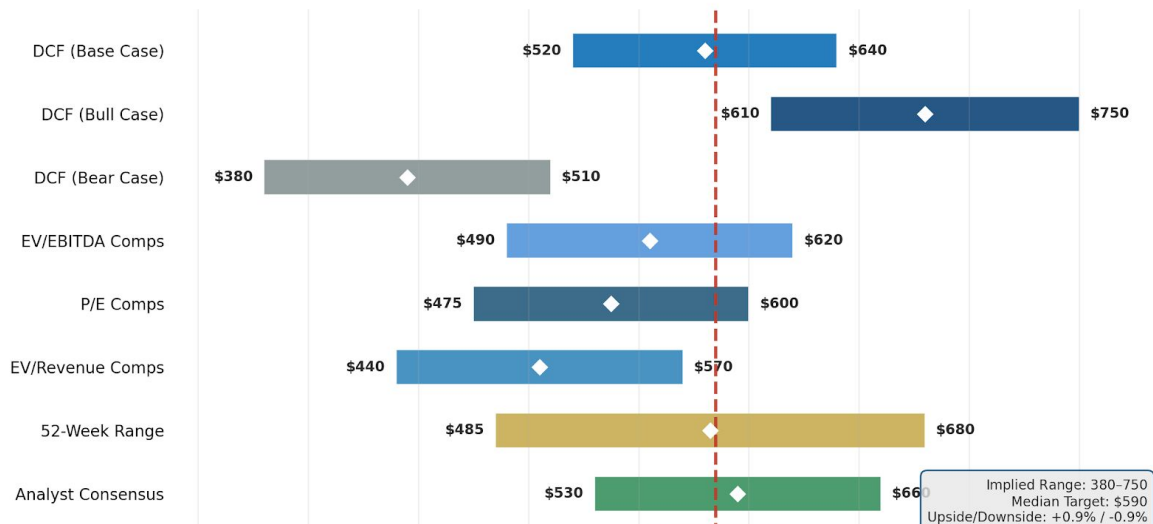
EV/EBITDA Comps (\$490–\$620): Based on peer group median of 18.2x applied to Meta's FY2026E EBITDA, with a 15–20% discount for regulatory risk.

Analyst Consensus (\$530–\$660): Reflects the aggregated consensus of 58 sell-side analysts, with a median target of \$595.

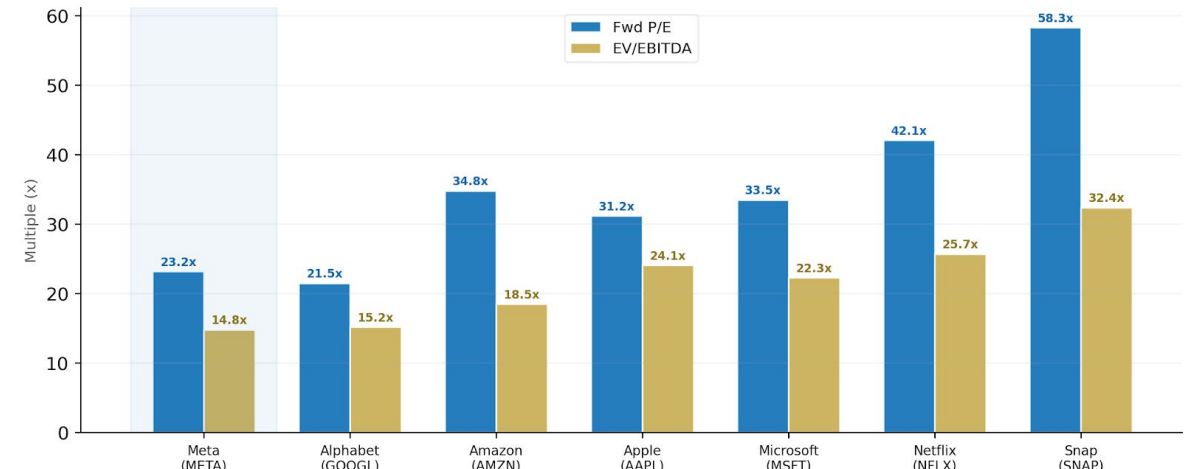
Peer Valuation Comparison

Meta trades at a significant discount to most large-cap tech peers on both forward P/E (23.2x vs. MSFT 33.5x, AMZN 34.8x, NFLX 42.1x) and EV/EBITDA (14.8x vs. AAPL 24.1x, MSFT 22.3x). This discount partially reflects (a) the perceived regulatory overhang, (b) ongoing Reality Labs losses (~\$16B annually), and (c) market concerns about AI capex sustainability. We view this discount as excessive given Meta's superior revenue growth trajectory (+13.8% FY2026E), dominant market position, and improving margin profile.

Football Field Valuation Analysis — Meta Platforms (META)



Peer Valuation Comparison — Communication Services & Big Tech



DCF

DCF Sensitivity Analysis

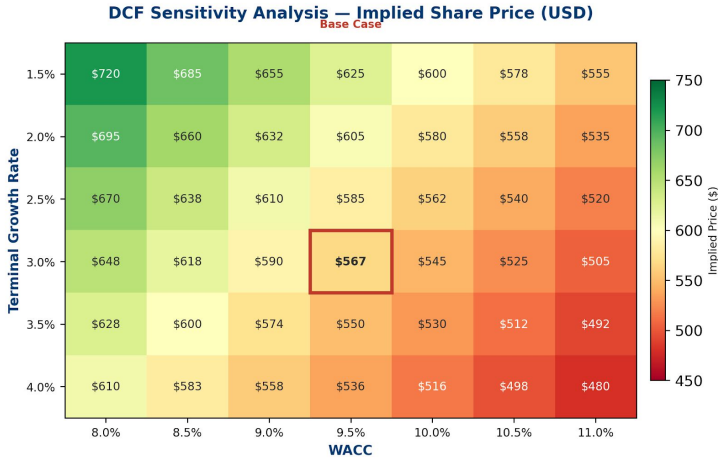
The sensitivity matrix below illustrates how Meta's implied share price varies across a range of WACC and terminal growth rate assumptions. Our base case (WACC: 9.5%, TGR: 3.0%) is highlighted in red. The analysis demonstrates that even under conservative assumptions (WACC: 10.5%, TGR: 2.0%), Meta's implied value of \$558 remains within 5% of the current price, providing a meaningful margin of safety.

Price Target Derivation

Our 12-month price target of \$640 is derived from a weighted average of our valuation methodologies:

Our blended valuation of \$590 is adjusted upward to \$640 to reflect a qualitative premium for: (1) Meta's unmatched first-party data assets across 3.5B+ users, (2) the option value of WhatsApp commerce and business messaging monetization (estimated \$15–20B TAM by 2028), and (3) the long-term optionality of Reality Labs and the metaverse platform. This premium equates to approximately 8.5% above the mechanical blended target.

Parameter	Base Case	Rationale
Revenue CAGR (2026–2031)	11.5%	Digital ad growth + AI monetization
Terminal EBITDA Margin	42.0%	Scale leverage, RL losses narrowing
WACC	9.5%	Rf 4.2%, ERP 5.5%, Beta 1.15
Terminal Growth Rate	3.0%	Aligned with nominal GDP growth
CapEx / Revenue (Terminal)	18.0%	AI infrastructure investment normalizes
Shares Outstanding (FY2026E)	2.53B	Active buyback program (~\$40B/yr)



Methodology	Implied Price	Weight	Contribution
DCF (Base Case)	\$580	40%	\$232
DCF (Bull Case)	\$680	15%	\$102
EV/EBITDA Comps	\$555	15%	\$83
P/E Comps	\$538	10%	\$54
Analyst Consensus	\$595	20%	\$119
Weighted Price Target		100%	\$590

Key Risk Matrix

Risk Factor	Probability	Impact	Mitigation / Commentary
Regulatory Escalation (EU/US)	Moderate	High	\$58B+ cash reserves for fines; diversified revenue geography; favorable U.S. court rulings to date
Addictive Design Litigation	High	Moderate-High	Landmark verdicts create precedent; Meta has significant legal reserves; design changes underway (teen accounts)
Energy Shock / Inflation	Moderate	Moderate	Historical resilience of digital ad budgets vs. traditional; Meta's pricing power mitigates volume risk
AI CapEx Overshoot	Low-Moderate	Moderate	\$50B FY2026E capex is aggressive but ROI visibility improving; custom silicon (MTIA) reduces unit costs
Reality Labs Losses	High	Low	~\$16B annual losses are well-understood by the market and priced in; optionality value offsets
Competitive Disruption (TikTok)	Low	Moderate	TikTok regulatory risk (potential U.S. ban) actually benefits Meta; Reels successfully defending share

Related Graphics & Summary Of News



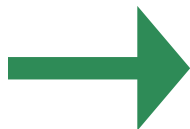
Over the past three months, Meta has increased its focus on AI and infrastructure, while simultaneously facing regulatory challenges and rising costs. The company has invested approximately \$14–\$14.3 billion in computing power and a partnership with CoreWeave, preparing a closed-loop AI model and developing the Llama/Muse Spark line as the foundation for the Meta AI assistant across all key products—Facebook, Instagram, WhatsApp, Messenger, and Ray-Ban glasses. Meta has announced significant progress in multimodal and medical AI solutions, emphasizing improved targeting and user engagement. Markets are reporting better-than-expected revenue and profit growth, and shares are reacting positively to the announcement of new models.

On the negative side, Meta remains under pressure from the EU over its use of AI and data, risking restrictions on some features, and faces rising capex costs of tens of billions of dollars for data centers and cloud, fueling debate about the long-term viability of its “AI bet.”



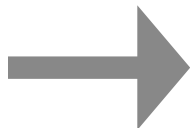
Investment Thesis

Bull Case (\$680–\$750)



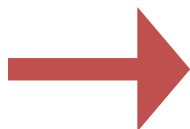
- AI-driven ad optimization delivers sustained 15%+ revenue growth through 2028, exceeding consensus estimates.
- WhatsApp Business monetization inflects, generating \$8–10B in incremental revenue by FY2027.
- Reality Labs narrows losses materially; Apple Vision Pro competition validates the category.
- TikTok U.S. ban materializes, redirecting ~\$20B in annual ad spend primarily to Meta's platforms.
- P/E multiple re-rates to 28–30x, in line with sector average, as regulatory risk perception fades.

Base Case (\$580–\$640)



- Revenue growth of 12–14% driven by digital ad market expansion and continued ARPU improvement.
- Margins stable at 37–40% as AI capex generates visible returns in ad efficiency.
- Regulatory fines manageable (\$2–5B range); no structural remedies imposed.
- Share buybacks of \$40B+ annually provide consistent EPS accretion of 3–4%.

Bear Case (\$380–\$510)



- Prolonged Iran conflict drives oil above \$120/bbl, triggering U.S. recession and 15–20% ad budget contraction.
- EU imposes structural remedies (forced data separation, interoperability mandates) under DMA.
- Addictive design litigation results in \$10B+ cumulative settlements and forced product changes.
- AI capex (\$50B+) fails to generate proportionate returns; investor patience with RL exhausts.

IMPORTANT DISCLOSURES

This report is prepared by Growth1 Team (Askar, Dilnaz, Aizhan) for educational and informational purposes only. It does not constitute investment advice, a solicitation, or an offer to buy or sell any securities. All data is sourced from public filings, IMF, Federal Reserve, BLS, Dentsu, WARC, eMarketer, and company reports as of March 14 - April 7, 2026. Past performance is not indicative of future results. The authors may hold positions in the securities discussed. All opinions are subject to change without notice.

EQUITY RESEARCH

COMMUNICATION SERVICES

META PLATFORMS

NASDAQ: META

Comprehensive Investment Analysis & Valuation Report

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Market Cap: \$1.48T | Fwd P/E: 23.2x | EV/EBITDA: 14.8x
52-Week Range: \$485 - \$680 | Dividend Yield: 0.4%

Growth1 Team

Askar • Dilnaz • Aizhan

Q1 2026 | Data as of March 30, 2026

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